CHAPTER 16

Debt, Divesting, and Downsizing

Broke and in your fifties or even sixties? Look at the bright side: At least gold diggers aren't after your money. If you're cash-strapped, yet still married to that gorgeous blonde who's much younger than you, then at least you've found true love. So be grateful. Then get to work. There's no use berating yourself, or obsessing over how you came to be broke or in debt well past middle age. Put it behind you and make a new plan. First item on your list: Get rid of any and all remaining debt. That is your first and only priority.

According to a recent AARP study, two-thirds of families with a head of household age sixty-five to seventy-four had debt. Of those, more than half owed at least $40,000. American senior citizens are estimated to be the fastest-growing age group to spiral into bankruptcy. It's a generational time bomb. Debt in your later years exacerbates existing health challenges and creates new ones, when you're at your most vulnerable. But here's the good news: It's entirely preventable and entirely curable, but only you can take the proper measures. If the only thing you do right by the time you get to sixty is to retire your debt, all is not lost. There are a few ways to tackle debt so that you can retire with a lot less stress, even if you don't have a lot of money.

For the longest time, a lot of Americans thought that by setting aside a few hundred dollars a month they'd retire as multimillionaires. I blame personal-finance books for that. Many such books show compound interest charts generating 10 percent returns. That's simply not realistic. I know of no financial institution that has delivered